

On 26 August 2026, the Australian Government released the National Bioenergy Feedstock Strategy (strategy).

Development of the strategy reflects the importance of feedstocks to domestic low carbon liquid fuel (LCLF) production. It recognises Australia's strong agricultural and forestry sectors, the potential to grow feedstock production and the economic opportunities this creates for producers and regional communities.

What the strategy aims to achieve

The strategy outlines how governments, industry and the supply chain can work together to support development of Australia's feedstock industry. It provides a shared national direction for a feedstock industry that is competitive, scalable, sustainable and internationally connected.

By reducing uncertainty, improving coordination and clarifying opportunities for further activity, the strategy lays the foundation for a feedstock industry that:

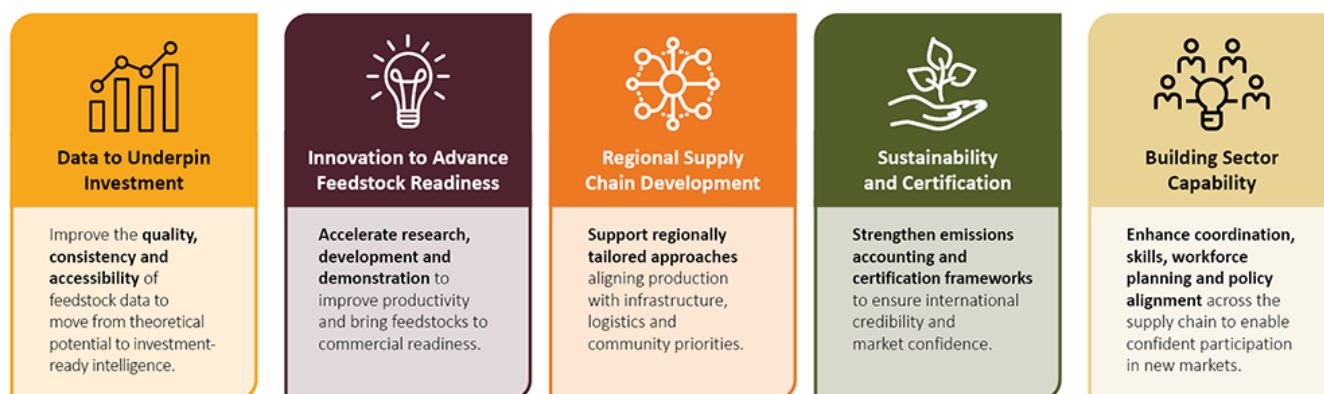
- supports emissions reduction
- strengthens long term fuel security
- creates lasting economic opportunities for producers and regional Australia.

Five priority areas

The strategy focuses on 5 priority areas for collective effort. These are:

- Improving data to underpin investment.
- Investing in innovation to advance feedstock readiness.
- Regional supply chain development to drive efficiencies.
- Sustainability and certification to create public confidence.
- Building sector capability

Priority areas for collective effort



No single feedstock, region or technology will deliver the scale required. Australia will need to build on its existing feedstock production capacity, scaling and diversifying into new feedstocks over time. This approach will help the industry respond to growing global demand and adapt to climate, market and technological changes while protecting food and fibre systems.

Consultation

The strategy was developed with significant input from industry and government stakeholders.

Submissions to the strategy discussion paper have been published on the [Have Your Say project page](#).

Bioenergy

Bioenergy, including most low-carbon liquid fuels and low-carbon gases, is a critical part of Australia's transition to net zero emissions. These alternatives to fossil fuels, which are produced from biogenic feedstocks, can help reduce emissions in sectors that are hard to electrify, such as aviation, maritime, heavy transportation, and mining.

Benefits for Australia

Building Australia's bioenergy industry will help maximise the economic and industrial benefits of the transition to clean energy and net zero. A strong domestic bioenergy industry will:

- strengthen long-term fuel security
- reduce emissions
- support economic growth
- provide new opportunities for primary producers and regional communities.

Support and investments

The strategy complements other Australian Government commitments aimed at growing Australia's low carbon liquid fuel (LCLF) industry and advancing decarbonisation, fuel security and economic development. The \$1.1 billion [Cleaner Fuels Program](#) is a key measure and is intended to assist first movers and help establish a domestic industry. Alongside this, the government is working with industry to introduce a market measure that drives demand for Australian LCLF production. A [consultation paper on design of the measure](#) was released on 18 August 2026.

These initiatives build on earlier investments in research and development including:

- \$250 million through the [Future Made in Australia Innovation Fund](#)
- \$33.5 million through the [Sustainable Aviation Fuel Funding Initiative](#).

The Government is also expanding the [Guarantee of Origin \(GO\) Scheme](#) to include LCLFs and establishing the Paraffinic Diesel Standard.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/climatechange/bioenergy-feedstocks>